

Partnership & Legal Structure

JV vs. agency options, and what needs a solicitor

1. This entire folder is gated on one open question !

Everything below assumes an **equity joint venture**. Earlier planning material also described a **commission/agency arrangement** with no equity — a fundamentally different structure. Until Folder 13, Question 1 is answered by the CEO, treat this folder as "if it's an equity JV, here's what that needs" — not as confirmation that it is one.

2. What a 50/50 JV needs beyond the equity split ✓

50/50 is colloquially called a "**deadlock**" structure for a reason: neither party can outvote the other, so **every** material decision needs either genuine agreement or a pre-agreed mechanism for when you don't agree. This is standard UK corporate law territory, and the standard components are:

- **A board with defined "reserved matters"** — decisions (budget approval, borrowing above a threshold, material contracts, senior hires, strategic changes) that explicitly require both shareholders' sign-off, spelled out rather than assumed.
- **A deadlock-breaking mechanism**, agreed *before* you need it — common options: escalation to named senior individuals at each side, mediation, independent expert determination for technical/product disputes, or (as a last resort) a buy-sell clause forcing one side to buy the other out at a fair price if deadlock is unresolved.
- **Clear IP/licensing terms** — does the UK JV own SalesOps CRM's UK brand and customer relationships outright, or license the product from RRUP in Poland? This materially affects what happens if the partnership ever ends.
- **An exit mechanism** — how either party can sell their stake, what happens if one party wants out, valuation method for buy-out.

3. If it turns out to be a commission/agency arrangement instead

Different questions matter more: is there genuine territorial exclusivity, on what terms; is commission paid on total contract value or recurring revenue; do you retain commission on account renewals; what happens if RRUP terminates the arrangement after you've built the pipeline; and critically, **what liability do you carry** for the product itself if something goes wrong with a client's system (earlier material suggested "no engineering or infrastructure liability" for the UK party — a real requirement to get in writing if true, not something to assume).

4. What I can and can't do here

I can lay out these options and risks and help prepare intelligent questions for RRUP and for a solicitor. **I should not draft actual legal agreement terms as if they were legal advice** — this needs a UK corporate solicitor experienced in cross-border arrangements (JV or agency) before anything is signed. Budget for this properly; it is not the place to economise given how much a badly-structured arrangement — of either kind — can cost later. Given the Bart situation already introduced one round of miscommunication into this deal, a properly drafted written agreement (of whichever structure it turns out to be) is more important here than it would be in a cleaner-starting relationship.

5. Data protection note (if operating in the UK regardless of structure)

Any UK entity handling customer data needs to register with the Information Commissioner's Office (ICO) under UK GDPR, and any data flow between a UK entity and RRUP's Polish/EU servers needs a proper Data Processing Agreement. This applies whether the structure ends up being equity or agency-based.

6. See Folder 13 for the specific questions to put to RRUP directly on all of this.
